

Xiaomi (1810)

No quick turnaround in sight, EV target cut may create a near-term bottom; stay Neutral

We expect Xiaomi to report tepid 2Q26 earnings (YoY down 44%), due to GM pressure in smartphones, slower growth in IoT and sluggish momentum in EV ahead of new model launch. Looking into 2H26, EV shipments should rebound, given the introduction of SkyNomad, but cost pressures from memory price increases will continue to bite, in our view. We believe the EV target of 550k units for FY26 looks unachievable now, and a target cut could create a near-term bottom for the stock. Valuations have reset back to attractive levels after the steep correction since 1H26, but stock catalysts such as overseas EV growth, smartphone margin inflection are still distant. We do not think Xiaomi's AI / robotics revenue streams are large enough to be material to the stock price, while the ongoing AI infra upcycle is likely to continue to put pressure on Smartphone Gross Margins. We would wait for EV shipment estimates to be rightsized for FY26/27 before turning more constructive on the stock. We trim our FY26/27 EPS estimates by 11%/10% and lower our Jun-27 PT to HK\$31. Key upside risk is a down sign in memory prices, or stronger-than-expected EV shipments, while key downside risk is increased competition in the domestic EV market.

- EV shipments remain lackluster, SkyNomad launch in September may not be sufficient to reach FY26 EV targets:** While Xiaomi's new Extended Range EV SUVs (SkyNomad) should drive some order momentum in 2H26, official deliveries only begin in September, and 1H26 has achieved just ~30% of the full-year EV shipment target (implying 60K+ EVs per month over the remaining five months to hit the goal—above its record monthly shipment of ~50K in December 2025). In addition, we note that lead times for the SU7 and YU7 are now mostly below 10 weeks, raising some concern over sales momentum for the existing models. We therefore think the FY26 target of 550K units now looks unachievable (JPMe: EV shipment of 465K in 2026) and expect the company to eventually revise it down—which could create a near-term bottom for the stock.
- Smartphone GMs remain under pressure, memory prices aren't coming down still:** While we believe Xiaomi can maintain its smartphone GM at 8% in 2Q26, GM pressure should continue into 2H26 (we revise down smartphone GM to 7.8%/8.5% in 3Q26/4Q26 from 8.2%/9.5% previously) as memory inventory costs continue to rise (DRAM and NAND ASPs up 15–18%/7–9% QoQ in 3Q/4Q26, per JPMe). We believe smartphone GM will trough in 3Q26 and then recover modestly from 4Q26, given de-speccing and a better product mix with higher ASPs (reducing low-end volumes). We raise our Xiaomi smartphone ASP growth estimate to 20% YoY in 2026 (from 15% YoY previously). However, we expect Xiaomi smartphone shipment volumes to decline sharply this year (JPMe: down 24% in 2026), driven by the higher ASP

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

Neutral

1810.HK, 1810 HK

Price (10 Aug 26): HK\$27.62

▼ **Price Target (Jun-27): HK\$31.00**
Prior (Dec-26): HK\$35.00

China

Technology

Gokul Hariharan AC

(852) 2800-8564

gokul.hariharan@jpmorgan.com

J.P. Morgan Securities (Asia Pacific) Limited/ J.P. Morgan Broking (Hong Kong) Limited

Jennifer Hsieh

(886-2) 2725-9868

jennifer.hsieh@jpmorgan.com

J.P. Morgan Securities (Taiwan) Limited

David Chou

(886-2) 2725-9618

david.chou@jpmorgan.com

J.P. Morgan Securities (Taiwan) Limited

Jason Chen

(886-2) 2725-9864

jason.bh.chen@jpmorgan.com

J.P. Morgan Securities (Taiwan) Limited

Subham Singhania

(91-22) 6157-3801

subham.singhania@jpmorgan.com

J.P. Morgan India Private Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	1.09	0.97	-11.3%
Adj. EPS - 27E (Rmb)	1.31	1.18	-10.1%

Quarterly Forecasts (FYE Dec)

Adj. EPS (Rmb)	2025A	2026E	2027E
Q1	0.41	0.23A	0.24
Q2	0.41	0.23	0.28
Q3	0.42	0.24	0.33
Q4	0.23	0.28	0.33
FY	1.47	0.97	1.18

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	65	50	72	53	57
Growth	16	4	5	79	53
Momentum	92	87	2	42	20
Quality	45	46	54	84	50
Low Vol	68	67	70	76	72
ESGQ	16	4	18	26	25

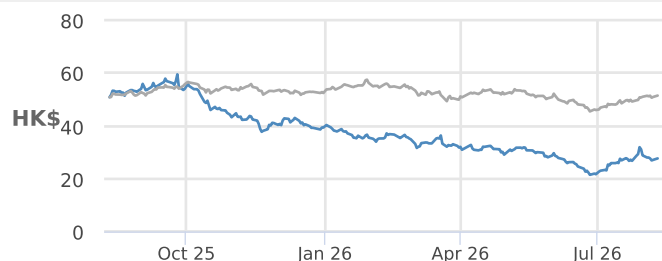
See page 12 for analyst certification and important disclosures, including non-US analyst disclosures.

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uptick, weighing on overall revenue and scale—while Xiaomi appears to be defending market share by introducing more smartphone models.

- **AI and robotics initiatives are promising, but not material for the stock price in the next 12 months:** Xiaomi's MiMo V2.5 has ranked No.1 in OpenRouter's global AI LLM month-to-date token usage, and Xiaomi also released its robot foundation model, Xiaomi Robotics-1, which helps robots adapt to new tasks more efficiently and topped the RoboCasa365 ranking. While these new AI and robotics initiatives look promising and appear positive over the long term, we do not think the associated revenue streams are material to the stock over the next 12 months, and ongoing AI investment should continue to weigh on Xiaomi's operating profits in the near-term.
- **Stay Neutral, lower estimates and PT to HK\$31:** Despite the stock likely already trading close to historical trough valuations (10–15x PE, or HK\$24–27), we believe key catalysts—such as overseas EV expansion and a meaningful smartphone margin rebound—remain some way off. We stay Neutral on the stock and lower our Jun-27 PT to HK\$31. We believe the key upside risk would be: (1) a down sign in memory prices driving a faster GM recovery; or (2) a significant pick-up in monthly EV shipments, particularly from new models. The key downside risk is intensifying competition in the domestic EV market.

Price Performance



— 1810.HK Price (HK\$) — HSCI (rebased)

	YTD	1m	3m	12m
Abs	-29.7%	6.9%	-12.8%	-46.1%
Rel	-27.9%	0.0%	-9.1%	-47.4%

Company Data

Shares O/S (mn)	25,509
52-week range (HK\$)	59.90-21.30
Market cap (\$ mn)	89,813
Exchange rate	7.84
Free float (%)	79.6%
3M ADV (mn)	188.90
3M ADV (\$ mn)	650.8
Volatility (90 Day)	47
Index	HSCI
BBG ANR (Buy Hold Sell)	38 5 3

Key Metrics (FYE Dec)

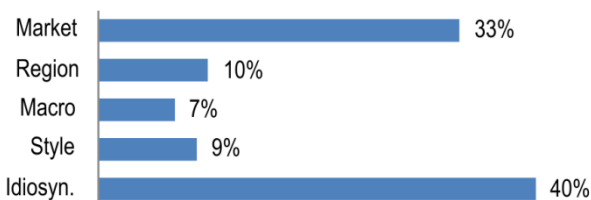
Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	457,287	440,857	506,720	560,251
Adj. EBIT	34,171	18,888	31,444	37,025
Adj. EBITDA	42,928	29,732	44,573	52,261
Adj. net income	39,089	25,563	31,224	36,485
Adj. EPS	1.47	0.97	1.18	1.38
BBG EPS	1.52	1.07	1.45	1.90
Cashflow from operations	40,938	39,485	49,642	44,620
FCFF	39,638	35,760	46,442	41,420
Margins and Growth				
Revenue Growth Y/Y (%)	25.0%	(3.6%)	14.9%	10.6%
EBIT margin	7.5%	4.3%	6.2%	6.6%
EBIT Growth Y/Y (%)	35.4%	(44.7%)	66.5%	17.7%
EBITDA margin	9.4%	6.7%	8.8%	9.3%
EBITDA Growth Y/Y (%)	36.0%	(30.7%)	49.9%	17.2%
Net margin	8.5%	5.8%	6.2%	6.5%
Adj. EPS growth	37.1%	(34.3%)	22.1%	16.8%
Ratios				
Adj. tax rate	17.1%	13.3%	11.8%	11.9%
Interest cover	NM	NM	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROE	17.2%	9.5%	10.9%	11.4%
Valuation				
FCFF yield	6.3%	5.7%	7.4%	6.6%
Dividend yield	0.0%	0.0%	0.0%	0.0%
EV/Revenue	1.2	1.3	1.1	1.0
EV/EBITDA	13.0	18.9	12.4	10.5
Adj. P/E	16.2	24.6	20.1	17.2

Summary Investment Thesis and Valuation

We remain Neutral on Xiaomi, as we expect smartphone GMs to stay under pressure and see rising risk to its 550K+ EV shipment target—where a target cut could create a near-term bottom for the stock. While valuations have reset to attractive levels following the steep correction since 1H26, key stock catalysts—such as overseas EV growth and a smartphone margin inflection—remain some way off. In addition, we do not think the revenue streams from AI and robotics will be material to the stock over the next 12 months.

Our Jun-27 PT of HK\$31 is based on SOTP, with 11.0x ex-cash 12M fwd earnings for the core business and 1.1x 12M fwd P/S for the EV and new business.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.60	0.58
Region: China	0.38	0.42
Macro:		
JPM Forecast Revision EM	-0.29	-0.22
Citi Economic Surprise - EM	0.00	-0.18
Markit EM Composite PMI SA	0.22	0.18
Quant Styles:		
Quality	0.32	0.14
Momentum	-0.39	-0.14
LowVol	0.11	-0.12

Table 1: Xiaomi SoTP Analysis

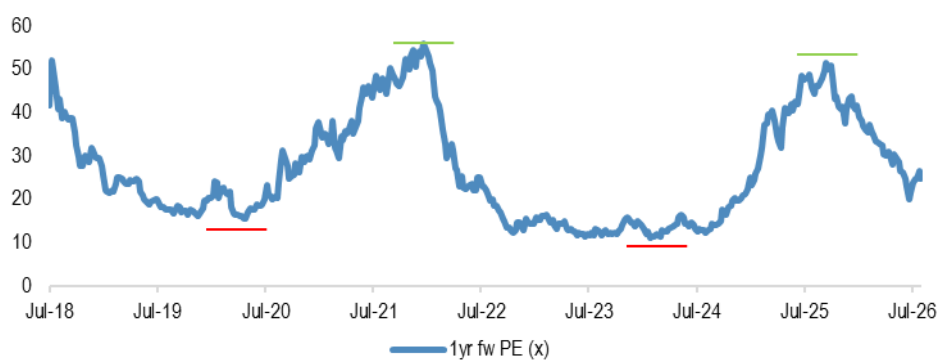
(RMB mn, x)

Xiaomi SoTP Analysis	RMB\$mn, x
Core business (Hardware + Internet Service)	
12M core earnings (non GAAP)	31,652
Ex-cash P/E multiple	11x
Xiaomi core value	348,173
EV and new business	
12M EV and new business revenue	177,189
Price to Sales multiple	1.1x
Xiaomi EV and new business value	194,908
Cash and cash equivalent	173,500
Total equity value	716,581
Outstanding shares (mn)	26,451
FX (HKD/RMB)	0.86
Derived value per share (HK\$)	31

Source: J.P. Morgan estimates.

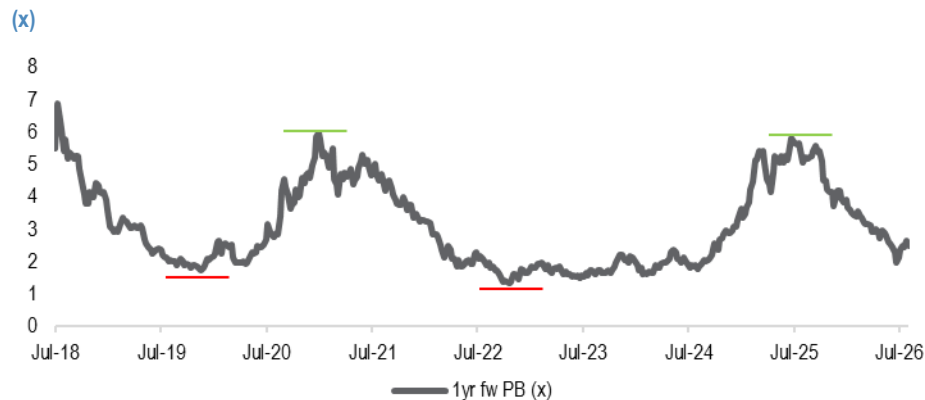
Figure 1: Xiaomi: Valuation PE trough-to-peak trend

(x)



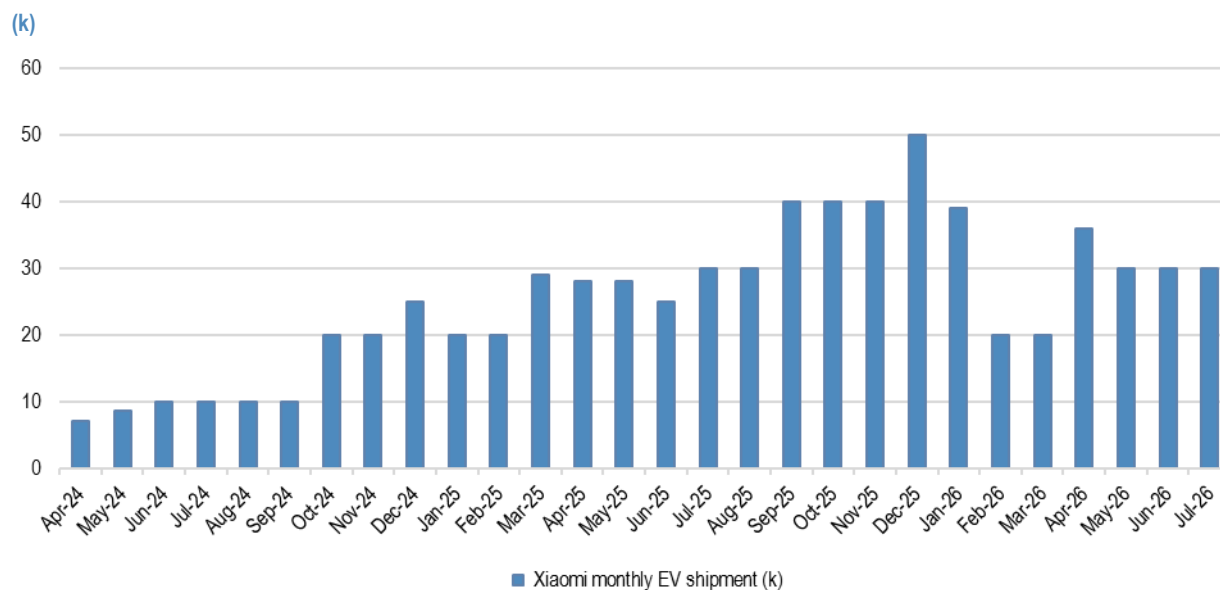
Source: Bloomberg Finance L.P. data, J.P. Morgan estimates, as of 10 Aug 2026.

Figure 2: Xiaomi: Valuation PB trough-to-peak trend



Source: Bloomberg Finance L.P. data, J.P. Morgan estimates, as of 10 Aug 2026.

Figure 3: Xiaomi monthly EV shipment



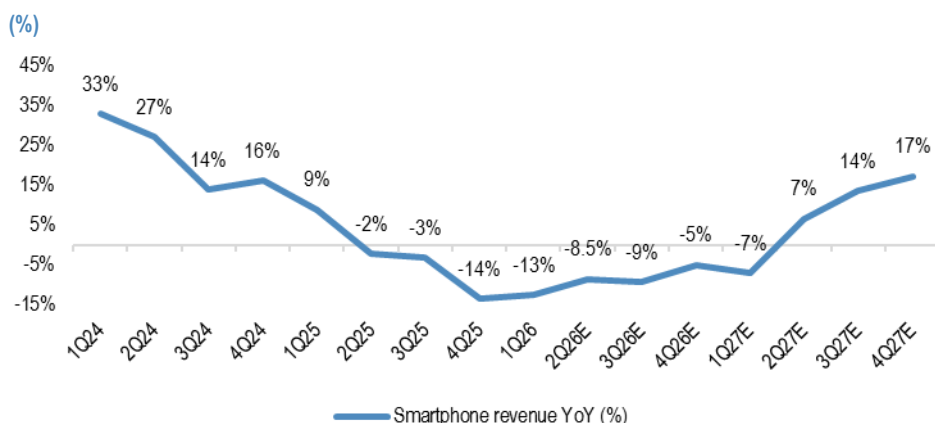
Source: Xiaomi, official announcements, Apr-24 to Jul-26

Table 2: Xiaomi EV lead time (weeks)

Xiaomi EV lead time (weeks)	4/2/2025	5/22/2025	6/24/2025	7/14/2025	8/12/2025	9/25/2025	10/2/2025	11/18/2025	12/29/2025	1/29/2026	3/24/2026	4/27/2026	5/10/2026	5/26/2026	7/7/2026	8/10/2026
SU7	46-49	41-44	38-41	38-41	38-41	35-38	35-38	28-31	22-25	NA	5-14	7-10	11-14	8-11	4-7	4-7
SU7 Pro	44-47	46-49	49-52	35-38	36-39	34-37	34-37	6-9	19-22	NA	5-14	7-10	11-14	10-13	4-7	4-7
SU7 Max	41-44	36-39	33-36	33-36	34-37	32-35	32-35	6-9	19-22	NA	5-18	7-10	11-14	10-13	4-7	4-7
SU7 Ultra	17-20	23-26	18-21	14-17	10-13	6-9	6-9	6-9	6-9	6-9	9-12	9-12	9-12	9-12	9-12	Deliver in Oct after order lock
YU7 / YU7 Long Range				57-60	56-59	51-54	45-48	35-38	35-38	14-17	7-10	7-10	7-10		6-9	4-7
YU7 Pro				49-52	47-50	42-45	42-45	34-37	32-35	14-17	9-12	9-12	9-12	Deliver in Jun-Jul after order lock	6-9	4-7
YU7 Max				40-43	42-45	36-39	36-39	32-35	28-31	28-31	11-14	4-7	4-7		6-9	4-7
YU7 Standard															6-9	4-7
YU7 GT														Deliver in Jul-Aug after order lock	6-9	5-8

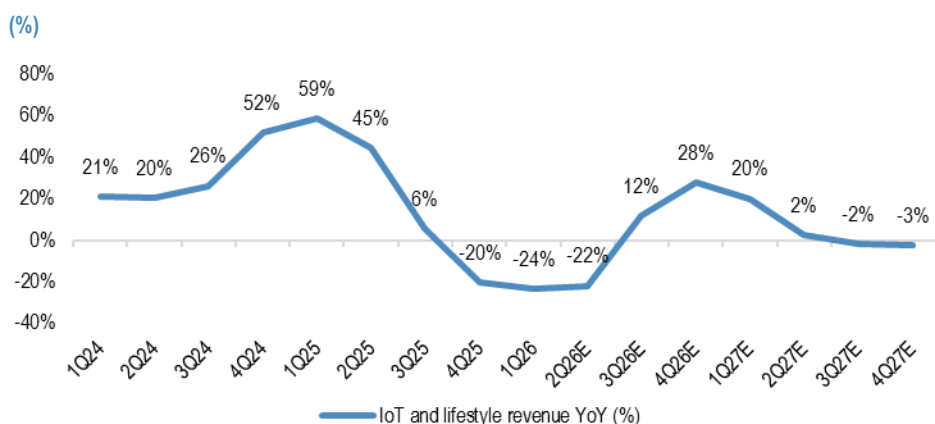
Source: Xiaomi, weekly EV lead times from smartphone application, 2 Apr 2025 to 10 Aug 2026

Figure 4: Xiaomi Smartphone revenue YoY



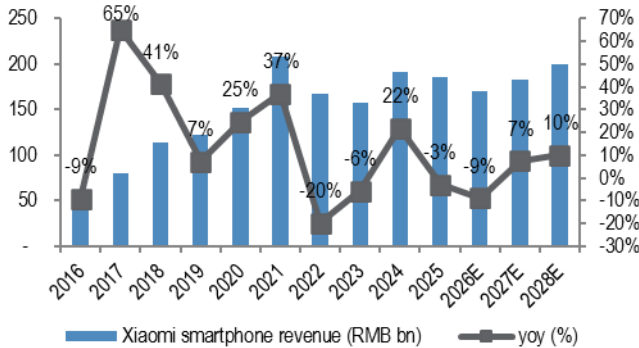
Source: Xiaomi (annual reports, & quarterly report 1Q26), J.P. Morgan estimates

Figure 5: Xiaomi IoT and lifestyle YoY



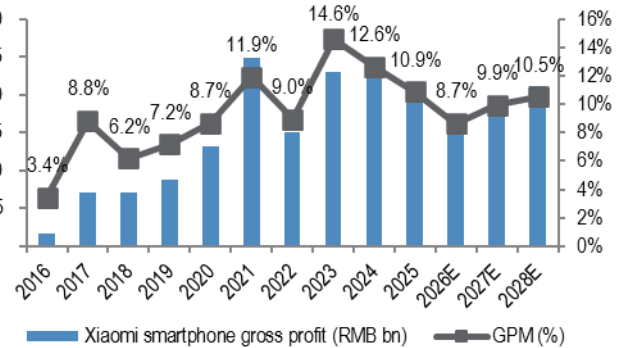
Source: Xiaomi (annual reports, & quarterly report 1Q26), J.P. Morgan estimates

Figure 6: Xiaomi smartphone revenue and yoy growth



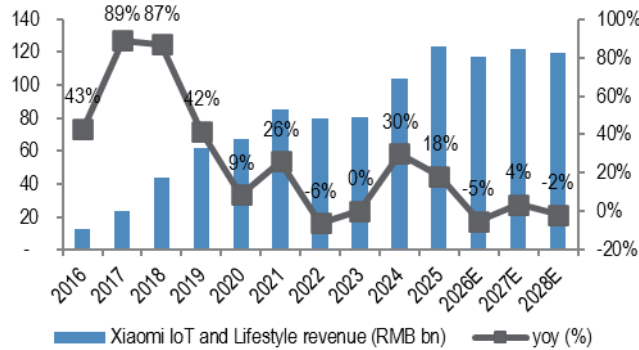
Source: Xiaomi (annual reports, 2016-2025 & quarterly report 1Q26), J.P. Morgan estimates.

Figure 7: Xiaomi smartphone gross profits and GPM



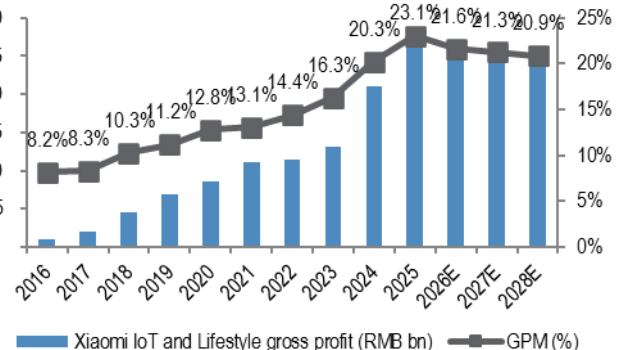
Source: Xiaomi (annual reports, 2016-2025 & quarterly report 1Q26), J.P. Morgan estimates.

Figure 8: Xiaomi IoT and Lifestyle revenue and yoy growth



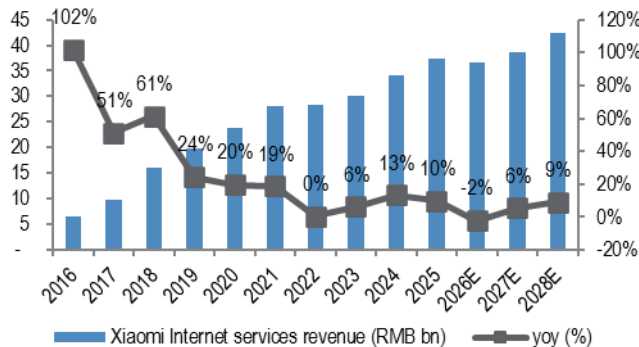
Source: Xiaomi (annual reports, 2016-2025 & quarterly report 1Q26), J.P. Morgan estimates.

Figure 9: Xiaomi IoT and Lifestyle gross profits and GPM



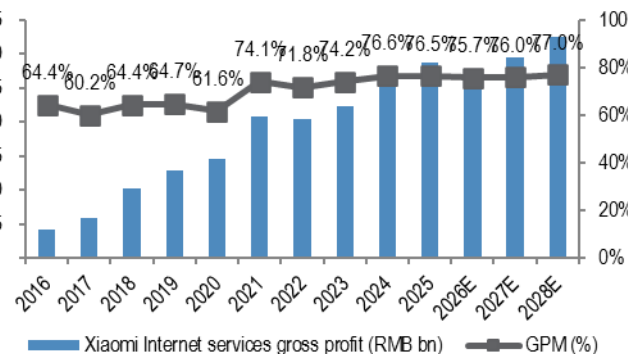
Source: Xiaomi (annual reports, 2016-2025 & quarterly report 1Q26), J.P. Morgan estimates.

Figure 10: Xiaomi Internet service revenue and yoy growth



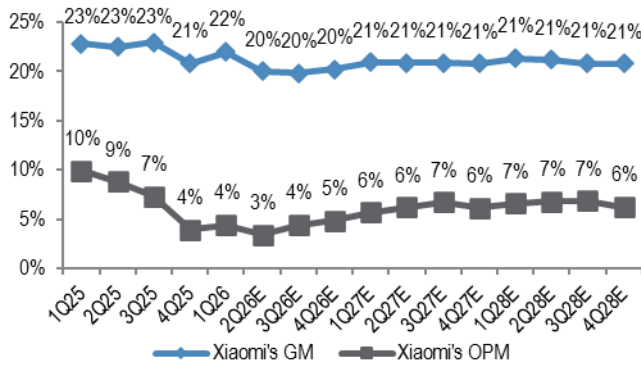
Source: Xiaomi (annual reports, 2016-2025 & quarterly report 1Q26), J.P. Morgan estimates.

Figure 11: Xiaomi Internet service gross profit and GPM



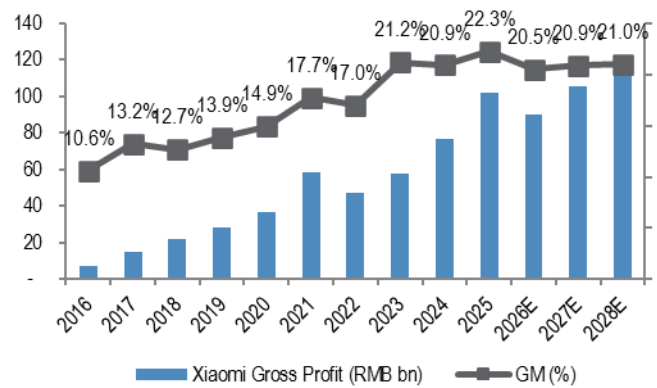
Source: Xiaomi (annual reports, 2016-2025 & quarterly report 1Q26), J.P. Morgan estimates.

Figure 12: Xiaomi quarterly GM and OPM



Source: Xiaomi (quarterly reports, 1Q25-1Q26), J.P. Morgan estimates.

Figure 13: Xiaomi annual GM



Source: Xiaomi (annual reports, 2016-2025 & quarterly report 1Q26), J.P. Morgan estimates.

Estimate revisions

Table 4: Xiaomi Quarterly and Annual earnings estimate revisions

Earnings revision Table RMB Mn, %	Current					Prior					% change				
	2Q26E	3Q26E	2026E	2027E	2028E	2Q26E	3Q26E	2026E	2027E	2028E	2Q26E	3Q26E	2026E	2027E	2028E
Core P&L															
Revenue	81,652	82,455	327,015	346,253	366,339	82,060	84,816	334,149	362,452	381,758	0%	-3%	-2%	-4%	-4%
Gross Profit	16,240	16,332	67,420	72,958	78,147	17,406	18,185	72,853	77,401	82,124	-7%	-10%	-7%	-6%	-5%
Gross Margins (%)	19.9%	19.8%	20.6%	21.1%	21.3%	21.2%	21.4%	21.8%	21.4%	21.5%	-132 bps	-163 bps	-119 bps	-28 bps	-18 bps
Adjusted OP Profit	5,543	5,860	25,493	33,552	38,292	6,410	7,413	30,061	37,061	41,947	-14%	-21%	-15%	-9%	-9%
Adjusted Net Profit	7,852	7,183	32,168	33,332	37,752	7,599	8,732	35,456	36,577	41,170	3%	-18%	-9%	-9%	-8%
EV and new business P&L															
Revenue	25,269	28,252	113,842	160,466	193,912	28,941	37,746	129,556	169,467	204,638	-13%	-25%	-12%	-5%	-5%
Gross Profit	5,155	5,650	22,890	32,800	39,632	5,933	7,549	26,077	34,650	41,829	-13%	-25%	-12%	-5%	-5%
Gross Margins (%)	20.4%	20.0%	20.1%	20.4%	20.4%	20.5%	20.0%	20.1%	20.4%	20.4%	-10 bps	0 bps	-2 bps	-1 bps	0 bps
Adjusted OP Profit	(1,895)	(961)	(6,605)	(2,108)	(1,267)	(1,563)	(1,283)	(6,652)	(1,834)	(774)	nm	nm	nm	nm	nm
Adjusted Net Profit	(1,895)	(961)	(6,605)	(2,108)	(1,267)	(1,563)	(1,283)	(6,652)	(1,834)	(774)	nm	nm	nm	nm	nm
Xiaomi group Adjusted Net Profit	5,956	6,222	25,563	31,224	36,485	6,036	7,449	28,804	34,743	40,396	-1%	-16%	-11%	-10%	-10%
Xiaomi group Adjusted EPS (RMB)	0.23	0.24	0.97	1.18	1.38	0.23	0.28	1.09	1.31	1.53	-1%	-16%	-11%	-10%	-10%
Key OP metrics															
Smartphone Shipments (Mn)	31.2	30.5	125.4	126.1	141.3	32.5	32.2	131.7	139.8	157.0	-4%	-5%	-5%	-10%	-10%
Smartphone GMs (%)	8.1%	7.8%	8.7%	9.9%	10.5%	8.0%	8.2%	9.0%	10.0%	10.9%	10 bps	-40 bps	-32 bps	-11 bps	-38 bps
EV shipments (000s)	104	115	465	650	755	118	150	524	685	795	-12%	-23%	-11%	-5%	-5%
EV Revenues	24,330	27,172	109,889	155,715	188,203	28,001	36,666	125,602	164,716	198,928	-13%	-26%	-13%	-5%	-5%

Source: J.P. Morgan estimates.

Table 5: Xiaomi: JPM Earnings estimate vs. consensus estimate

RMB Mn, %, RMB	JPM					Consensus					% difference				
	2Q26E	3Q26E	2026E	2027E	2028E	2Q26E	3Q26E	2026E	2027E	2028E	2Q26E	3Q26E	2026E	2027E	2028E
Revenue	106,921	110,708	440,857	506,720	560,251	113,680	119,550	466,741	552,155	647,856	-6%	-7%	-6%	-8%	-14%
Gross Profit	21,394	21,983	90,310	105,758	117,779	23,678	25,370	99,028	119,420	144,116	-10%	-13%	-9%	-11%	-18%
Gross Margins (%)	20.0%	19.9%	20.5%	20.9%	21.0%	20.8%	21.2%	21.2%	21.6%	22.2%	-82 bps	-136 bps	-73 bps	-76 bps	-122 bps
Reported OP Profit	2,237	3,489	13,245	25,801	31,382	6,326	7,298	27,483	39,516	53,960	-65%	-52%	-52%	-35%	-42%
OP Margins (%)	2.1%	3.2%	3.0%	5.1%	5.6%	5.6%	6.1%	5.9%	7.2%	8.3%	-347 bps	-295 bps	-288 bps	-206 bps	-273 bps
Adjusted Net Profit	5,956	6,222	25,563	31,224	36,485	6,711	7,389	27,579	38,624	51,679	-11%	-16%	-7%	-19%	-29%
Adjusted EPS (RMB)	0.23	0.24	0.97	1.18	1.38	0.25	0.28	1.04	1.46	1.95	-11%	-16%	-7%	-19%	-29%

Source: J.P. Morgan estimates, Bloomberg Finance L.P. as of 10 Aug 2026

Table 6: Xiaomi Earnings Model

RMB billion, year-end Dec	2025				2026E				2027E				2028E				2025	2026E	2027E	2028E
	1Q	2Q	3Q	4Q	1Q	2QE	3QE	4QE	1QE	2QE	3QE	4QE	1QE	2QE	3QE	4QE				
Revenue	111.3	116.0	113.1	116.9	99.1	106.9	110.7	124.1	113.9	123.6	130.7	138.5	129.0	134.1	144.7	152.5	457.3	440.9	506.7	560.3
COGS	85.9	89.9	87.2	92.6	77.3	85.5	88.7	99.0	90.1	97.8	103.4	109.7	101.5	105.7	114.5	120.8	355.5	350.5	401.0	442.5
Gross profit	25.4	26.1	25.9	24.4	21.8	21.4	22.0	25.1	23.9	25.8	27.3	28.8	27.5	28.4	30.1	31.7	101.8	90.3	105.8	117.8
Operating expense	14.3	15.9	17.6	19.7	17.5	17.7	17.1	19.1	17.4	18.2	18.5	20.2	19.0	19.3	20.2	22.2	67.6	71.4	74.3	80.8
Operating income	11.1	10.2	8.3	4.6	4.4	3.6	4.9	6.0	6.5	7.7	8.8	8.5	8.5	9.1	9.9	9.5	34.2	18.9	31.4	37.0
Pre-tax profit	13.0	13.4	14.0	6.9	7.1	6.9	7.2	8.4	7.4	8.6	9.8	9.6	9.6	10.2	11.0	10.6	47.2	29.5	35.4	41.4
Net profit	10.7	10.9	11.3	6.2	6.1	6.0	6.2	7.3	6.5	7.3	8.8	8.6	8.3	8.6	9.9	9.6	39.1	25.6	31.2	36.5
Reported Net Profit	10.9	11.9	12.3	6.4	4.7	4.5	4.8	5.9	5.1	5.9	7.4	7.2	6.9	7.2	8.5	8.2	41.5	20.0	25.6	30.8
EPS	0.41	0.41	0.42	0.23	0.23	0.23	0.24	0.28	0.24	0.28	0.33	0.33	0.32	0.33	0.38	0.36	1.47	0.97	1.18	1.38
Reported EPS	0.42	0.44	0.46	0.24	0.18	0.17	0.18	0.22	0.19	0.22	0.28	0.27	0.26	0.27	0.32	0.31	1.56	0.76	0.97	1.17
Key operating metrics																				
Smartphone shipment (mn)	41.8	42.5	43.5	37.8	33.8	31.2	30.5	29.9	28.6	30.6	32.7	34.2	32.7	34.3	36.4	37.9	165.6	125.4	126.1	141.3
Smartphone ASP (RMB)	1,211	1,071	1,057	1,173	1,310	1,334	1,370	1,408	1,439	1,453	1,451	1,443	1,447	1,429	1,412	1,393	1,126	1,354	1,447	1,419
Monthly active users (mn)	719	731	742	754	746	756	765	774	782	791	801	811	821	831	842	854	754	774	811	854
Average revenue per user (RMB)	12.6	12.4	12.6	13.1	12.7	11.8	11.9	11.9	11.9	12.1	12.2	12.3	12.4	12.6	12.7	12.8	49.6	47.4	47.7	49.5
EV shipments (000s)	76	81	109	145	81	104	115	165	135	155	170	190	165	170	200	220	411	465	650	755
Key metrics by business																				
Core revenue	92.7	94.7	84.1	79.7	79.3	81.7	82.5	83.6	81.0	85.9	88.4	91.0	87.2	91.0	93.0	95.2	351.2	327.0	346.3	366.3
Core GM (%)	22.8	21.6	22.1	20.0	22.5	19.9	19.8	20.4	20.9	20.9	21.3	21.2	21.5	21.3	21.3	21.3	21.7	20.6	21.1	21.3
Core OPM (%)	12.4	11.1	9.1	4.5	9.4	7.2	7.5	8.6	9.1	9.7	10.9	10.3	11.1	10.8	11.0	10.3	9.5	8.1	10.0	10.8
Core net profit	11.2	11.2	10.7	5.2	9.1	8.2	7.5	8.5	7.4	8.0	9.7	9.5	9.5	9.4	10.2	9.9	38.3	33.3	34.5	39.0
EV and new biz revenue	18.6	21.3	29.0	37.2	19.9	25.3	28.3	40.5	32.9	37.7	42.3	47.5	41.8	43.1	51.7	57.3	106.1	113.8	160.5	193.9
EV and new biz GM (%)	23.2	26.4	25.5	22.7	20.1	20.4	20.0	20.0	21.0	21.0	20.0	20.0	21.0	21.0	20.0	20.0	24.3	20.1	20.4	20.4
EV and new biz OPM (%)	(2.5)	(1.6)	2.1	2.7	(15.5)	(8.7)	(4.5)	(2.9)	(2.7)	(1.8)	(2.1)	(1.8)	(2.7)	(1.7)	(0.6)	(0.5)	0.8	(6.8)	(2.1)	(1.3)
EV and new biz net profit	(0.5)	(0.3)	0.6	1.0	(3.1)	(2.2)	(1.3)	(1.2)	(0.9)	(0.7)	(0.9)	(0.8)	(1.1)	(0.7)	(0.3)	(0.3)	0.8	(7.7)	(3.3)	(2.5)
Revenue Breakdown (%)																				
Smartphone	45%	39%	41%	38%	45%	39%	38%	34%	36%	36%	36%	36%	37%	37%	36%	35%	41%	39%	36%	36%
IoT and Lifestyle	29%	33%	24%	21%	25%	28%	28%	25%	26%	25%	23%	22%	22%	23%	21%	20%	27%	27%	24%	21%
Internet Services	8%	8%	8%	8%	10%	8%	8%	7%	8%	8%	7%	7%	8%	8%	7%	7%	8%	8%	8%	8%
EV and new biz	17%	18%	26%	32%	20%	24%	26%	33%	29%	31%	32%	34%	32%	32%	36%	38%	23%	26%	32%	35%
Margins (%)																				
Gross margin	22.8	22.5	22.9	20.8	22.0	20.0	19.9	20.2	20.9	20.9	20.9	20.8	21.3	21.2	20.8	20.8	22.3	20.5	20.9	21.0
Operating margin	9.9	8.8	7.3	4.0	4.4	3.4	4.4	4.8	5.7	6.2	6.7	6.2	6.6	6.8	6.9	6.2	7.5	4.3	6.2	6.6
Net margin	9.6	9.4	10.0	5.3	6.1	5.6	5.6	5.9	5.7	5.9	6.7	6.2	6.5	6.4	6.9	6.3	8.5	5.8	6.2	6.5
Sequential Growth (%)																				
Revenue	2	4	-2	3	-15	8	4	12	-8	9	6	6	-7	4	8	5	25	-4	15	11
Gross profit	13	3	-1	-6	-10	-2	3	14	-5	8	6	6	-4	3	6	5	33	-11	17	11
Operating income	63	-8	-19	-44	-6	-16	34	22	8	19	15	-3	0	7	9	-4	35	-45	66	18
Net profit	28	1	4	-45	-2	-2	4	18	-12	14	20	-2	-3	4	15	-4	43	-35	22	17
EPS	26	-2	4	-45	-1	-2	4	18	-12	14	20	-2	-3	4	15	-4	37	-34	22	17
Yoy Growth (%)																				
Revenue	47	30	22	7	-11	-8	-2	6	15	16	18	12	13	8	11	10				
Gross profit	51	42	37	8	-14	-18	-15	3	9	21	24	15	15	10	10	10				
Operating income	97	52	36	-32	-61	-64	-41	29	48	110	79	43	32	19	13	11				
Net profit	65	75	81	-26	-43	-45	-45	18	7	23	41	18	29	18	13	11				
EPS	61	66	71	-29	-44	-44	-44	19	7	23	41	18	29	18	13	11				

Source: J.P. Morgan estimates, Xiaomi quarterly reports from 1Q25 to 1Q26

Investment Thesis, Valuation and Risks

Xiaomi Corporation *(Neutral; Price Target: HK\$31.00)*

Investment Thesis

We remain Neutral on Xiaomi, as we expect smartphone GMs to stay under pressure and see rising risk to its 550K+ EV shipment target—where a target cut could create a near-term bottom for the stock. While valuations have reset to attractive levels following the steep correction since 1H26, key stock catalysts—such as overseas EV growth and a smartphone margin inflection—remain some way off. In addition, we do not think the revenue streams from AI and robotics will be material to the stock over the next 12 months.

Valuation

Our Jun-27 PT of HK\$31 is based on SOTP, with 11.0x ex-cash 12M fwd earnings for the core business and 1.1x 12M fwd P/S for the EV and new business.

Risks to Rating and Price Target

Key negative risks are (1) intensifying competition in the domestic EV market, (2) weaker IoT demand leading to further cuts to topline, (3) any cut to FY26 EV shipment target.

Key upside risks are (1) a down sign in memory prices driving a faster GM recovery, and (2) a significant pick-up in monthly EV shipments, particularly from new models.

Xiaomi (1810): Summary of Financials

Income Statement - Annual						Income Statement - Quarterly					
	FY24A	FY25A	FY26E	FY27E	FY28E		1Q26A	2Q26E	3Q26E	4Q26E	
Revenue	365,906	457,287	440,857	506,720	560,251	Revenue	99,142	106,921	110,708	124,086	
COGS	(289,346)	(355,481)	(350,546)	(400,961)	(442,472)	COGS	(77,332)	(85,527)	(88,725)	(98,963)	
Gross profit	76,560	101,806	90,310	105,758	117,779	Gross profit	21,810	21,394	21,983	25,123	
SG&A	(30,991)	(39,867)	(37,960)	(38,628)	(43,943)	SG&A	(9,907)	(9,150)	(8,967)	(9,936)	
Adj. EBITDA	31,557	42,928	29,732	44,573	52,261	Adj. EBITDA	6,771	6,337	7,709	8,916	
D&A	(6,318)	(8,757)	(10,844)	(13,129)	(15,236)	D&A	(2,411)	(2,689)	(2,809)	(2,935)	
Adj. EBIT	25,238	34,171	18,888	31,444	37,025	Adj. EBIT	4,360	3,648	4,900	5,981	
Net Interest	3,624	1,746	1,772	1,633	1,895	Net Interest	416	525	422	409	
Adj. PBT	31,783	47,247	29,523	35,398	41,401	Adj. PBT	7,066	6,860	7,165	8,432	
Tax	(4,548)	(8,080)	(3,913)	(4,194)	(4,936)	Tax	(994)	(892)	(931)	(1,096)	
Minority Interest	80	(77)	(46)	20	20	Minority Interest	(11)	(11)	(11)	(11)	
Adj. Net Income	27,314	39,089	25,563	31,224	36,485	Adj. Net Income	6,061	5,956	6,222	7,324	
Reported EPS	0.93	1.56	0.76	0.97	1.17	Reported EPS	0.18	0.17	0.18	0.22	
Adj. EPS	1.07	1.47	0.97	1.18	1.38	Adj. EPS	0.23	0.23	0.24	0.28	
DPS	0.00	0.00	0.00	0.00	0.00						
Payout ratio	0.0%	0.0%	0.0%	0.0%	0.0%						
Shares outstanding	25,461	26,586	26,451	26,451	26,451	Shares outstanding	26,451	26,451	26,451	26,451	
Balance Sheet & Cash Flow Statement						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	75,388	82,802	83,722	98,268	104,436	Gross margin	20.9%	22.3%	20.5%	20.9%	21.0%
Accounts receivable	14,589	15,240	16,046	17,912	19,717	EBITDA margin	8.6%	9.4%	6.7%	8.8%	9.3%
Inventories	62,510	80,989	81,591	91,078	100,254	EBIT margin	6.9%	7.5%	4.3%	6.2%	6.6%
Other current assets	73,222	75,780	59,456	68,662	77,763	Net profit margin	7.5%	8.5%	5.8%	6.2%	6.5%
Current assets	225,709	254,811	240,815	275,919	302,170						
PP&E	17,974	14,018	11,607	8,029	4,318	ROE	15.5%	17.2%	9.5%	10.9%	11.4%
LT investments	68,263	87,150	106,769	126,389	146,009	ROA	7.5%	8.6%	5.0%	5.7%	6.1%
Other non current assets	91,209	152,117	157,991	162,437	168,264	ROCE	10.5%	10.9%	5.4%	8.5%	8.9%
Total assets	403,155	508,096	517,182	572,774	620,760	SG&A/Sales	8.5%	8.7%	8.6%	7.6%	7.8%
						Net debt/equity	NM	NM	NM	NM	NM
Short term borrowings	13,327	13,202	10,361	10,361	10,361	P/E (x)	22.1	16.2	24.6	20.1	17.2
Payables	98,281	110,699	106,701	118,325	117,352	P/BV (x)	3.2	2.4	2.3	2.1	1.9
Other short term liabilities	63,777	68,504	70,906	79,151	87,125	EV/EBITDA (x)	17.8	13.0	18.9	12.4	10.5
Current liabilities	175,385	192,405	187,968	207,836	214,838	Dividend Yield	0.0%	0.0%	0.0%	0.0%	0.0%
Long-term debt	17,276	22,921	28,382	32,882	37,382						
Other long term liabilities	21,289	26,446	30,017	30,017	30,017	Sales/Assets (x)	1.0	1.0	0.9	0.9	0.9
Total liabilities	213,950	241,773	246,367	270,735	282,237	Interest cover (x)	NM	NM	NM	NM	NM
Shareholders' equity	188,738	266,219	270,696	301,920	338,405	Operating leverage	129.3%	141.7%	1244.8%	444.9%	168.0%
Minority interests	467	105	118	118	118						
Total liabilities & equity	403,155	508,096	517,182	572,774	620,760						
BVPS	7.41	10.01	10.23	11.41	12.79	Revenue y/y Growth	35.0%	25.0%	(3.6%)	14.9%	10.6%
y/y Growth	14.2%	35.1%	2.2%	11.5%	12.1%	EBITDA y/y Growth	42.1%	36.0%	(30.7%)	49.9%	17.2%
Net debt/(cash)	(44,785)	(46,678)	(44,979)	(55,025)	(56,694)	Tax rate	14.3%	17.1%	13.3%	11.8%	11.9%
						Adj. Net Income y/y Growth	41.7%	43.1%	(34.6%)	22.1%	16.8%
						EPS y/y Growth	40.7%	37.1%	(34.3%)	22.1%	16.8%
						DPS y/y Growth	-	-	-	-	-
Cash flow from operating activities	55,526	40,938	39,485	49,642	44,620						
o/w Depreciation & amortization	6,318	8,757	10,844	13,129	15,236						
o/w Changes in working capital	20,581	(3,074)	3,348	5,309	(7,081)						
Cash flow from investing activities	(66,500)	(85,745)	(22,900)	(33,616)	(36,971)						
o/w Capital expenditure	(7,880)	(1,300)	(3,725)	(3,200)	(3,200)						
as % of sales	2.2%	0.3%	0.8%	0.6%	0.6%						
Cash flow from financing activities	(4,861)	52,221	(15,665)	(1,480)	(1,480)						
o/w Dividends paid	0	0	0	0	0						
o/w Net debt issued/(repaid)	2,746	5,521	2,619	4,500	4,500						
Net change in cash	(15,835)	7,414	920	14,546	6,169						
Adj. Free cash flow to firm	47,646	39,638	35,760	46,442	41,420						
y/y Growth	15.0%	(16.8%)	(9.8%)	29.9%	(10.8%)						

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Xiaomi (1810) (1810.HK, 1810 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
30-Aug-23	N	12.38	13.5
10-Nov-23	OW	16.52	21
14-Nov-23	OW	16.22	22
21-Nov-23	OW	16.18	23
20-Mar-24	OW	14.86	21
20-May-24	OW	19.94	24
19-Nov-24	OW	28.80	34
19-Mar-25	N	57.65	60
11-Nov-25	N	42.36	50
19-Nov-25	N	40.78	45
01-Feb-26	N	35.50	38
02-Mar-26	N	34.90	35

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Aug 08, 2018. All share prices are as of market close on the previous business day.

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